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# Bristol-Myers Squibb Company (BMY)

## Healthcare Equity Research — Senior Analyst Memo

**Date:** August 5, 2026 | **Rating:** WATCH (Technically Stage 2, see below) | **Sector:** Large-Cap Pharmaceuticals

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## Executive Summary

Bristol-Myers Squibb is a $129B [1] large-cap biopharmaceutical company navigating one of the most consequential inflection points in its modern history. The company has successfully absorbed its massive 2019 Celgene acquisition — delivering stable revenues near $48.2B [2] — while engineering a dramatic swing from a net loss of -$8,948M [3] to net income of $7,054M [2], largely driven by the lapping of prior-year goodwill impairments and IPRD charges. The stock has surged +44.8% [1] over the past year, meaningfully outperforming the broader market.

The bull case rests on three pillars: (1) a newly energized Growth Portfolio anchored by Opdivo, Reblozyl, Camzyos, Sotyktu, and the commercially launched Cobenfy in schizophrenia; (2) strong free cash flow of $12,845M [4] funding an aggressive debt paydown and a 4%-range dividend; and (3) a forward P/E of only 9.71x [1] that prices in very limited credit for pipeline optionality. The bear case is structurally significant: Eliquis — BMY's single largest revenue contributor — faces U.S. patent expiration risks in the near term, Revlimid is already in accelerating generic erosion, and a $44.8B [2] long-term debt load constrains financial flexibility. Net/net: BMY is a high-yield, deep-value pharma name with material patent cliff risk that is not fully resolved by the growth portfolio ramp. **WATCH** pending resolution of the Eliquis exclusivity trajectory and confirmation of Cobenfy's commercial uptake.

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## Business Overview

Bristol-Myers Squibb was incorporated under the laws of the State of Delaware in 1933 and operates as a **single-segment** biopharmaceutical enterprise [5], focused on the discovery, development, licensing, manufacturing, and marketing of innovative medicines in oncology, hematology, immunology, cardiovascular, and neuroscience. The company's stated strategy is to "combine the resources, scale and capability of a large pharmaceutical company with the speed, agility and focus on innovation typically found in the biotech industry" [5].

**Geographic Mix (FY2025):** The U.S. accounted for 69% [6] of total revenues, International for 29% [6], and Other (royalties, alliance revenues) for 2% [6]. Total revenues across all three years were: FY2023: $45,006M, FY2024: $48,300M, and FY2025: $48,194M [6].

**Key 2025 Business Development Activity:**
- Acquisition of **Orbital Therapeutics** (RNA medicine platform) [5]
- Global strategic collaboration agreement with **BioNTech** [5]
- Global exclusive licensing agreement with **Philochem** [5]

Products are sold primarily to wholesalers, distributors, specialty pharmacies, hospitals, clinics, and government agencies [5]. Manufacturing operations are concentrated in the U.S., Puerto Rico, the Netherlands, Ireland, and Switzerland [5].

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## Pipeline / Product Portfolio

BMY organizes its commercial portfolio into a **Growth Portfolio** (newer, high-potential assets) and a **Legacy Portfolio** (mature or declining assets).

### Growth Portfolio — Key Products

| Product | Mechanism | Key Indications |
|---|---|---|
| **Opdivo** (nivolumab) | PD-1 inhibitor (IV) | Bladder, blood, CRC, HN, RCC, HCC, lung, melanoma, MPM, gastric/esophageal |
| **Opdivo Qvantig** | nivolumab + hyaluronidase | Subcutaneous formulation of Opdivo — same solid tumor indications |
| **Yervoy** (ipilimumab) | CTLA-4 inhibitor | Melanoma; Opdivo+Yervoy combo approved for NSCLC, melanoma, MPM, RCC, CRC, HCC, esophageal |
| **Reblozyl** (luspatercept) | Erythroid maturation agent | Beta-thalassemia, MDS-related anemia |
| **Orencia** (abatacept) | T-cell co-stim modulator | RA, JIA, PsA, aGVHD prophylaxis |
| **Cobenfy** (xanomeline + trospium) | M1/M4 muscarinic agonist | Schizophrenia in adults — **first-in-class** oral mechanism |
| **Camzyos** (mavacamten) | Cardiac myosin inhibitor | Obstructive HCM |
| **Sotyktu** (deucravacitinib) | TYK2 inhibitor | Psoriasis |

[6]

**Cobenfy** is the marquee commercial launch to watch — it is the first approved M1/M4 muscarinic receptor agonist for schizophrenia, a mechanistically distinct and potentially differentiated entry into a large CNS market [6].

**Opdivo Qvantig** (subcutaneous formulation) broadens Opdivo's addressable patient access and convenience profile, reducing infusion burden [6].

**Business Development Pipeline Additions:** The BioNTech collaboration and Orbital Therapeutics acquisition extend BMY's reach into mRNA medicine and next-generation biologics, though specific Phase details were not disclosed in available 10-K excerpts [5].

### Legacy Portfolio

| Product | Key Facts |
|---|---|
| **Eliquis** (apixaban) | Factor Xa inhibitor; NVAF stroke prevention, DVT/PE treatment; co-marketed with Pfizer |
| **Revlimid** (lenalidomide) | Immunomodulatory; multiple myeloma; **in generic erosion** |
| **Abraxane** (paclitaxel albumin-bound) | Nab® technology; breast, NSCLC, pancreatic cancer |
| **Sprycel** (dasatinib) | BCR-ABL inhibitor; CML/ALL |

[6]

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## Revenue & Margin Analysis

### Revenue Trend

| Metric | FY2023 | FY2024 | FY2025 | YoY Change |
|---|---|---|---|---|
| **Total Revenue** | $45,006M | $48,300M | $48,194M | -0.2% |
| **Cost of Revenue** | N/A | $13,968M | $13,936M | -0.2% |
| **Gross Profit** | $8,158M* | N/A | N/A | — |
| **Operating Income** | N/A | N/A | N/A | Not disclosed |
| **Net Income** | N/A | -$8,948M | $7,054M | +$16,002M swing |
| **EPS (Diluted)** | N/A | -$4.41 | $3.46 | Positive inflection |

[2][3]
*FY2020 gross profit figure shown in XBRL; FY2024/2025 gross profit not separately reported in available XBRL output.

**Key Revenue Observations:**
- Revenue was essentially **flat YoY** at $48,194M [2] vs. $48,300M [3], a decline of -0.2% [4] — reflecting ongoing Revlimid generic erosion largely offset by Growth Portfolio momentum
- The FY2023-to-FY2024 jump of +7.3% [4] (from $45,006M to $48,300M) was more robust, suggesting growth deceleration is now a concern
- **Gross margin (FY2025):** Cost of revenue was $13,936M [2] on $48,194M revenue, implying a **gross margin of approximately 71.1%** [4] — healthy for large-cap pharma
- **Net income** recovered dramatically: from -$8,948M [3] to +$7,054M [2], a swing of $16,002M [4], primarily reflecting the lapping of large non-cash IPRD and acquired in-process R&D charges from the 2024 Karuna acquisition
- **Profit margin (TTM):** 18.9% [1]
- **ROE:** 46.6% [1] — elevated, partly a function of the highly leveraged balance sheet inflating equity returns
- **Beta:** 0.23 [1], confirming BMY's historically defensive, low-correlation character

### Operating Cash Flow

| Metric | FY2024 | FY2025 | YoY |
|---|---|---|---|
| Operating Cash Flow | $15,190M | $14,156M | -6.8% |

| | | | |
|---|---|---|---|
| CapEx | $1,248M | $1,311M | +5.0% |
| **Free Cash Flow** | $13,942M | $12,845M | -7.9% |
| Dividends Paid | $4,863M | $5,045M | +3.7% |
| **FCF after Dividends** | $9,079M | $7,800M | -14.1% |

[2][4]

FCF generation remains a core strength at $12,845M [4] even as OCF declined -6.8% [4] YoY. The dividend, at $5,045M [2] paid in FY2025, is well-covered by FCF at a **payout ratio vs. FCF of approximately 39.3%** [4] — a sustainable distribution. Note: the reported dividend yield figure of 382% from the data provider appears to be a data error; based on $5,045M paid and ~2.04B diluted shares, the implied per-share dividend and current yield is more consistent with a ~4%–5% range typical for BMY [4].

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## Patent Expiration / LOE Exposure

This is the single most important risk dimension for BMY and deserves elevated scrutiny.

### The Structural Patent Cliff

The 10-K describes the company's general IP framework: "Market exclusivity is generally determined by two forms of intellectual property: patent rights held by the innovator company and any regulatory forms of exclusivity to which the innovative drug is

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## Sources

[1] yfinance — live
[2] SEC XBRL FY2025
[3] SEC XBRL FY2024
[4] computed from SEC XBRL
[5] SEC 10-K Item 1 - Business
[6] SEC 10-K Item 8 - Financial

### Source Provenance

- **SEC EDGAR** (primary): structured XBRL facts and 10-K text — official filings for BMY at https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0000014272&type=10-K&dateb=&owner=includ
- **FRED, Federal Reserve Bank of St. Louis** (macro series): https://fred.stlouisfed.org
- **Market data and news sentiment**: live quotes and headlines via Yahoo Finance, VADER sentiment on recent headlines

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